

HARD PUNCH

RAW MATERIAL COSTS COMPRISE TWO-THIRDS OF ALL COSTS...

(Share of overall costs in %)

67%
Raw materials
and overheads

5%
Fuel

28%
Labour

Source JLL, Colliers and industry

...AND FUEL PRICES ARE RISING THE MOST

BRENT CRUDE OIL
ALUMINIUM
COPPER
STEEL
CEMENT

22%
30%
40%
44%

70%

Figures are rise in costs from March 2021 to March 2022 in per cent

Challenges arising from the ongoing work-from-home culture, office absorption is subdued. Thus, the additional cost burden now feels heavier as rental income is falling short. "Some correction may happen in the coming years but currently it is in a very fluid state," he says. Jayakumar is now bracing for a 70-80 per cent office occupancy rate starting from the July-September quarter, but it may still not be enough to meet the shortfall in income.

According to Nayan Raheja, Director at Delhi-based Raheja Developers, over the past several years, the number of active developers in the country's second largest market—the National Capital Region—has come down significantly, impacting the overall supply. "So, currently the supply is low and the demand is high. We are making representations to the government to intervene as it is becoming unfeasible to run a business with such a high cost of raw materials. Anyway, affordability of the consumers is impacted due to the all-encompassing price hikes," he says. The developer is currently implementing a 10 per cent hike in prices for new projects, while absorbing the additional costs for projects that are near completion. Raheja, who is closely monitoring the situation, says the demand is so far stable—thanks to a lack of sufficient supply.

While for the projects that have already been sold, realtors would have to absorb the added cost, but for the new projects, further price hikes are imminent. With no end in sight, real estate prices are likely to go up by another 10-15 per cent in the next three quarters—taking the overall price hike to 20-25 per cent—between late-2020 and 2022, says Hiranandani. This, say experts, would take residential homes out of the reach of most willing buyers who have got enough motivation to enter the market post Covid-19. According to Kapoor of Gulshan Group, if the trend continues, most of the developers would be left with no other option but to halt construction because increasing prices to meet the entire cost burden would make the projects unviable.

"We have to absorb the additional costs in our ongoing projects and thus it is unlikely that we will make any profit this year. So, if the situation continues to prevail, most of the developers would have to shelve their products or stop construction. This is beyond anybody's means to complete a project which is already sold and rates are fixed, as input costs have gone through the roof," he says. **BT**

@arndutt